Sazgar Engineering Works Limited

SAZEW | PSX | PSX: SAZEW | Automobile Assembler

BUY | Fair value 2,289 PKR | Price 1,394.80

Rating	Fair value	Range	12m target	Price	Exp. return	Confidence
BUY	**2,289**	**1,102-3,318**	**2,724**	**1,394.80**	**99.4%**	**MEDIUM**

Priced for a collapse in local assembly: at PKR 1,394.80 the market implies shrinking sales; we value SAZEW at PKR 1,102-3,318 (central PKR 2,289, probability-weighted PKR 2,239), but the Auto Policy 2026-31 outcome is close to binary

Conclusion

- Sazgar has become a scaled four-wheeler assembler for GWM (Haval, Tank, ORA) and BAIC on top of its three-wheeler franchise: FY26 revenue was PKR 191,715m (+76.4%) and net profit PKR 23,605m, EPS 390.51 [EV-0002, EV-0027].
- The share trades at 3.6x trailing earnings with net cash of about PKR 10.2bn at 30 September 2026 [EV-0001, EV-0003]. Reverse DCF: holding our margins, the price requires revenue to shrink about 2.0% a year for seven years, or EBIT margins of about 9.0% against 13.7% in our base case.
- Our base case (revenue +12% in FY27E, EBIT margin fading from 15.0% to 12.5%, 21.5% cost of equity in PKR) gives a DCF value of PKR 2,268 and a reliability-weighted fair value of PKR 2,289; the bear and bull cases span PKR 1,102 to PKR 3,318 (interpretation: the margin of safety exists even in the bear case, but not in the policy-stress case of PKR 559).
- The near-term trend is weakening, not improving: Q1 FY27 four-wheeler units fell 11.81% while three-wheelers rose 44.69%, and the company absorbed the sales-tax rise on hybrids, cutting operating profit to PKR 6,148m from PKR 6,809m [EV-0010, EV-0003].

Thesis

- The price discounts a structural collapse that the evidence does not (yet) show: At 3.6x trailing earnings the market requires about -2.0% annual revenue decline or a 9.0% EBIT margin to justify the price. Q1 FY27 revenue still grew to PKR 41,711m from PKR 33,825m and the order book shifted towards higher-value models (favourable mix) [EV-0010]. Our base case already haircuts margins from 19.0% (FY26) to 12.5% (interpretation).
- Capacity, product pipeline and balance sheet give room to absorb a downturn: The PKR 11.50bn four-wheeler expansion is complete (capacity 54,000 units a year on a single shift) and a further PKR 22.00bn plan (fully automatic paint shop) was approved; new CKD PHEV/HEV models (Haval H6 PHEV, Tank 500 PHEV and HEV) were launched [EV-0004, EV-0027]. Cash of PKR 18,041m against debt of about PKR 7.8bn at 30 September 2026 and an A+ credit rating (VIS) reduce financing risk [EV-0003, EV-0027].
- Three-wheelers are a cash-generative hedge against the car cycle: Three-wheeler units rose 44.69% in Q1 FY27 and revenue from the segment rose to PKR 3,135.79m from PKR 2,017.87m; management expects the segment to remain an important contributor, with exports being pursued (Japan among markets) [EV-0010, EV-0004]. It is small (about 8% of Q1 sales) so it cushions rather than offsets a four-wheeler downturn (interpretation).

Valuation

Measure	Value
DCF value per share (base)	2,268.41 PKR
Bear / bull	1,102 / 3,318
WACC / terminal growth	20.3% / 5.0%
Terminal value share of EV	42.1%
Price implies (reverse DCF)	Holding margins and reinvestment at base, the price of 1,394.80 implies revenue growth of -2.0% a year over 7 years versus 10.4% in our base case.

Catalysts

- Announcement of the Auto Policy 2026-31 (tariff differential for CKD vs CBU, NEV incentives) (Pending at 30 September 2026; date not announced)
- Monthly production and sales disclosures (four- and three-wheelers) on PSX (Monthly (estimated from filing pattern))
- Commissioning of the fully automatic paint shop under the PKR 22.00bn expansion plan (Not disclosed)
- Q2 FY27 results (quarter to 31 December 2026) (Estimated late January to February 2027 (not dated by evidence))

Largest risks

- Loss of tariff protection (CBU duty cuts, Auto Policy 2026-31): cheaper imported vehicles -> lower local CKD volumes and pricing -> revenue growth and EBIT margin -> FCFF and terminal value (stress case PKR 559)
- Taxes absorbed rather than passed on: higher sales tax on hybrids (8.50%/12.75% to 18%) absorbed -> lower net price -> gross margin
- Working-capital reversal: slower bookings -> lower customer advances and higher inventory -> negative operating cash flow (already visible: Q1 FY27 payables PKR 28,193m vs PKR 30,722m at June 2026; inventory PKR 41,771m) -> funding needs during the PKR 22.00bn capex plan
- PKR depreciation and CKD supply: weaker PKR or LC restrictions -> higher kit cost or production stoppage -> gross margin and volumes

Confidence MEDIUM. Status: FINAL_VALIDATED. Sources and full methodology in the report; price PSX data portal quote [EV-0001].